



A SHORT LETTER FROM A FELLOW WORKING MAN

What I'd do if I were 50+, still breaking my back every day, and retirement was nowhere in sight

Dana Nutt · northern Michigan

If you're forty, fifty, or somewhere in between, and you log into that retirement account on a quiet Tuesday night and your stomach drops, this is for you.

I know that feeling. I lived in it.

At 41 I was paying myself six hundred dollars a week. I had two crews. I worked right next to them, on the roof, in the cold. I could outwork just about anyone. And I had an IRA through Jackson National Life with less than ten thousand dollars in it, growing at a pace that would have had me eating cat food in my seventies.

I had followed the formula. Show up. Work hard. Don't complain. Hope it adds up.

It didn't add up. Pride doesn't pay for retirement. Hard work, by itself, is not a financial plan.

The 401(k) will not catch you up

"Max out your 401(k)." With what money?

"Start early and let compound interest do the work." Where were you with that advice twenty years ago?

"Save ten percent of every paycheck." Sure, and in thirty years I'll have enough for a used Buick and eighteen months of groceries.

That advice is for people who started at twenty-two with a desk job and a match. If you're starting at forty or fifty with little or nothing, you don't need a better savings plan. You need a different vehicle.

I found mine in 1998. It wasn't Wall Street.

The first move I would make

If I were sitting where you are tomorrow morning, I would not open another retirement statement. I would not call a financial advisor. I would not wait until I "had some money saved."

I would go find one small deal in a small town, the kind of place the big investors don't bother with.

My first deal was ten acres of land in northern Michigan. I bought it for \$7,500. Twelve months later I sold it for \$14,000. Almost a hundred percent return in one year. Not over a decade. Twelve months. Ten acres of dirt made me \$6,500 while my IRA sat there like a rock at the bottom of a pond.

THE FIRST DEAL · 10 ACRES, NORTHERN MICHIGAN	
What I paid	\$7,500
What I sold it for, 12 months later	\$14,000
Profit	\$6,500
Return	almost 100% in one year

The second deal was three lots in downtown Indian River for \$2,500. A year later I sold them on a land contract for \$10,500. That's more than a three-hundred-percent return, and the buyer didn't go to a bank. We agreed on a price and terms, shook hands, and put it in writing.

THE SECOND DEAL · THREE LOTS, INDIAN RIVER	
What I paid	\$2,500
Sold on a land contract	\$10,500
Return	more than 300%
Bank involved	none

I looked at those two deals next to my IRA and cashed the IRA out. I have never regretted that. Not for one second.

That's the first move. Not a mansion. Not an apartment building. One small piece of property, bought right, in a town the big money ignores.

The napkin I still use

When I look at a deal I don't spend three hours in a spreadsheet. I do it on a napkin. If the napkin says no, I walk. The investors who get buried are the ones who fall in love with a house and stop listening to the math.

THE NAPKIN: 65% RULE	
Start with after-repair value. Multiply by 65%. That number is the most I can have into the deal: purchase plus repairs. Everything.	
House will sell for	\$100,000
Max all-in ($\times 0.65$)	\$65,000
If rehab is \$20,000, max purchase	\$45,000
What I actually offer	\$38,000-\$40,000

About 10% of that leftover 35% covers holding costs and the realtor's cut. What's left is profit. If I come out anywhere from 15% to 25%, I'm happy. I always offer under the formula, because there are always surprises: a roof that's worse than you thought, plumbing you didn't see, a well that isn't right.

On a rental the napkin is simpler: rent minus mortgage, taxes, insurance, and a little set aside. If you're seeing \$200 or more a month left over, look harder.

What I would not do

I would not wait for a bank to like me. Some of the best deals I ever did were land contracts and lease-options, two people at a kitchen table. My second deal. The schoolhouse my parents bought when I was a kid. Same idea.

I would not wait until I had a pile of cash. Broke is not a reason to sit still. It's a reason to get creative.

I would not go around my spouse. If there's someone sitting across the kitchen table from you, they have to be in the conversation. Not sold. Not steamrolled. In it. I lost years because I didn't have that. When I finally put every number on a piece of paper in front of Amy, we were on the same page, and that's when the real building started.

You don't ask them to believe in a five-year vision. You ask them to let you prove one small deal. Nobody loses the house over \$2,500. When \$2,500 becomes \$10,500, the skeptic starts paying attention.

I would not flip my way to retirement and call it done. Flipping makes money once. A rental pays you every month. Flip if you need capital. Hold if you want to stop trading hours for dollars.

What I would do this month

Week 1. Walk into two real estate offices and ask: do you work with investors? Be specific. "I'm looking for single-family homes under \$75,000 that need work." Not "I'm looking for deals." Tell five people you know that you're buying. Set alerts on Zillow and Marketplace. Drive your town. Write down the vacant ones and the ones with a sign.

Week 2. Run the napkin on everything that shows up. Call a realtor and ask for comps on two properties. You're training your eye.

Week 3. If the numbers work, go see it. If they still work after you walk it, make an offer contingent on inspection. Today. Not after you sleep on it for a week.

Week 4. If they take it, inspect, put down earnest money, clear the title, close. If they don't, go back to week 2.

You will look at a hundred. You will offer on ten. You will get one. That's the game. Don't let the no's stop you.

I walked into Roxie Beach's office as a snotty-nosed guy with a pickup truck and no portfolio. I asked if she worked with investors. She said yes. That relationship became more than a hundred deals.

You do not need to be ready. You need to walk through the door.

One more thing

I grew up in a one-room schoolhouse in northern Michigan. No electricity. No running water. Three feet of raccoon dung on the floor when we moved in. I was ten. I picked up a shovel.

Whatever you think your starting line is, mine was probably worse.

I am 69. Amy and I travel when we want, see the grandkids when we want, hunt and fish when the mood strikes. Last year we took five vacations. Rental income covers the life we actually live. Not yachts. The right to wake up and choose the day.

That started with \$7,500 and a decision.

If I were you, I'd make the decision this week. Then I'd go find one small deal.

The 401(k) is not coming to save you. A piece of dirt in a small town might.

- Dana

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This letter is educational. I am a real estate investor sharing what I did in northern Michigan, not your attorney, CPA, broker, or advisor. Markets differ. Numbers in this letter are from my own deals. Yours will be different. Run your own napkin. Talk to people who know your town before you buy anything. DanaNutt.org